FUTURE CFO 2035 CASE STUDY

The Calendar Decision:

Should a Public-Company CFO Elect Semiannual Reporting?

SEC File No. S7-2026-15, investor revolt, and the board meeting that will not wait

Case Date: 1 September 2026

Setting: Mid-cap NYSE industrial · Audit Committee pre-read

Discipline: Corporate Governance · Disclosure · Cost of Capital · Investor Relations

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This case is written for classroom discussion. It is not intended to serve as an endorsement, source of primary data, or illustration of effective or ineffective management. Facts about the SEC proposal, comment-file statistics, and public statements of named officials are drawn from contemporaneous reporting as of 1 September 2026. The protagonist company is a teaching composite constructed so that students must decide — the Commission has not yet adopted a final rule.

"Over the next few months, I expect that the Commission will be considering a series of proposals that, if adopted, will not only redefine what it means to be a public company, but will make being public attractive again."

— Paul S. Atkins, Chairman, U.S. Securities and Exchange Commission, 5 May 2026

"There is no particular magic to quarterly reporting. Why not monthly? Why not every six months? A framework built nearly 75 years ago should not be presumed to serve all companies optimally in 2026."

— Mark T. Uyeda, Commissioner, U.S. Securities and Exchange Commission, 5 May 2026

"Less-frequent reporting could increase market volatility and harm transparency, raising the risk of insider trading."

— Managed Funds Association, comment on File No. S7-2026-15, summer 2026

Monday Morning on the 38th Floor

On the morning of Monday, 1 September 2026, Priya Menon, Chief Financial Officer of Meridian Forge Holdings (NYSE: MFH), a $4.8 billion-revenue specialty metals and precision-components company headquartered in Cleveland, closed the glass door of the small conference room adjoining the board suite. The Audit Committee would convene in eleven days. On the table sat three documents: the Commission's 5 May 2026 proposing release that would let issuers replace Form 10-Q with a new semiannual Form 10-S; a staff memo summarizing the comment file that had closed on 6 July; and a one-page note from Meridian's lead independent director. The note was short. "If Atkins moves this year," it read, "the Board will expect a recommendation — elect, wait, or commit in writing to stay quarterly. Do not bring us a process. Bring us a decision."

Menon had been CFO for three years. She had taken Meridian through a covenant reset, a $750 million notes offering, and a contested say-on-pay season. None of those files had asked her to redesign the company's relationship with public information. The proposal on her desk would.

How a Seventy-Five-Year Habit Became Optional

Quarterly reporting in the United States was not carved into the original Securities Exchange Act of 1934. It hardened after the Second World War, as industrial issuers, expanding institutional ownership, and a Commission that wanted comparable interim data converged on Form 10-Q. For more than half a century the cadence was treated as infrastructure: three 10-Qs and one 10-K, with Item 2.02 Form 8-Ks and earnings releases filling the gaps. Analysts built models to the quarter. Credit agreements referenced trailing-twelve-month covenants that were refreshed when the 10-Q dropped. Compensation committees set annual bonuses against quarterly checkpoints that the market could see.

President Donald J. Trump had argued, in both of his terms, that the quarterly clock forced managers to manage the clock. In September 2025 he returned to the theme in a social-media post: six-month reporting would "save money, and allow managers to focus on properly running their companies." On 5 May 2026 the Commission, under Chairman Paul S. Atkins, converted that political preference into File No. S7-2026-15. Issuers could elect, typically by checking a box on the annual filing, to meet Exchange Act interim reporting obligations with a new Form 10-S covering the first six months of the fiscal year. The second half would remain inside the Form 10-K. Regulation S-X would be amended in parallel. Companies that preferred the old rhythm could keep filing 10-Qs. Nothing in the proposal banned earnings releases, investor days, or blog posts.

Atkins placed the file inside a larger campaign he had branded “Make IPOs Great Again” — a package intended to reduce what he called the rigidity of public-company status so that more firms would list, and stay listed, in the United States. Commissioner Mark T. Uyeda, in a supporting statement the same day, asked the question that would dominate every subsequent CFO call: was there any particular magic to the quarter?

The Commission’s own economic analysis estimated that an issuer switching from three 10-Qs to one 10-S might save about $198,000 a year in direct compliance cost. That number was almost irrelevant to Meridian. The company’s all-in quarterly close — controllers, external audit interim procedures, legal review, printer, IR roadshow — ran closer to $1.1 million a cycle when fully loaded management time was counted. Two cycles avoided would be real money. It would not, Menon knew, be the number the Board asked about first.

What the Comment File Actually Said

The 60-day comment period closed on 6 July 2026. By early July, Professor Tzachi Zach of Ohio State’s Fisher College of Business had classified nearly 12,000 individual comment letters; roughly 97 percent opposed the proposal. Broader trackers cited by the *Wall Street Journal* put the raw volume above 200,000 letters — among the most lopsided comment files in the Commission’s modern history. The Investment Adviser Association, the CFP Board, and the CFA Institute warned that semiannual filings would widen information gaps and raise the cost of advice. In a CFA Institute survey of 2,500 charterholders working as analysts and portfolio managers, 62 percent opposed replacing quarterly filings with semiannual ones; 63 percent said the benefits of quarterly reporting outweighed the costs; about 70 percent opposed giving companies flexibility to choose their own schedule; and only 32 percent expected companies to keep filing quarterly if the requirement became optional.

The buy-side was not subtle. The Managed Funds Association told the Commission that thinner official disclosure would increase volatility and the risk of insider trading. Several large asset managers argued that alternative data — satellite imagery, card-swipe panels, web-scraped prices — was a poor substitute for a reviewed 10-Q, because alternative data was expensive, unevenly distributed, and legally noisy. Retail-investor letters, which dominated the raw count, used a simpler vocabulary: “do not hide the quarter from people who cannot buy a data feed.”

And yet, by mid-July, the *Wall Street Journal* was reporting that the administration intended the proposal to become law in some form. On 30 July, Chairman Atkins publicly defended the design as an alternative to “one-size-fits-all,” stressing that quarterly reporting would remain legal and that investors could punish issuers who chose opacity. Legal commentators writing in August 2026 judged that a final adopting release could arrive as early as the first half of 2027, with first elections possibly effective for fiscal 2027 and a first Form 10-S as early as August 2027 for a calendar-year filer. Nothing had been adopted. Nothing, Menon kept reminding her general counsel, had changed the current duty to file three 10-Qs. The Board was not asking about current duty. It was asking about posture.

The Proposal on One Page

Element	Current regime	Proposed election

Interim reports	Three Forms 10-Q per year	One Form 10-S covering first six months; H2 inside 10-K
How to elect	Not optional	Check-the-box on the annual filing (next window often early 2027)
Earnings releases / calls	Market custom, not the 10-Q itself	Still permitted; many CFOs expect they continue
Form 8-K	Material events remain current	Unchanged — and more important if 10-Qs disappear
SEC estimate of direct saving	—	About $198,000 net per year per electing issuer
Comment file (closed 6 Jul 2026)	—	~97% of classified letters opposed; volume historically extreme
CFA charterholder survey	—	62% oppose the swap; only 32% expect voluntary quarterly filing

Meridian Forge: A Company Built on the Quarter

Meridian Forge Holdings was not a hyperscaler and not a pre-revenue biotech. It melted, forged, and finished specialty alloys for aerospace landing-gear, energy-transition turbines, and heavy-duty truck axles. Forty-one percent of 2025 revenue came from aerospace and defense primes on multi-year contracts; 27 percent from industrial OEMs; 22 percent from aftermarket and service; 10 percent from a small but growing grid-hardware line that the strategy committee liked to call "the GE Vernova adjacency." Fiscal 2025 revenue was $4.82 billion. Adjusted operating margin was 11.4 percent. Net leverage sat at 2.3x EBITDA after the 2024 notes deal. The equity market capitalization on 29 August 2026 was $6.1 billion. Two active sell-side analysts covered the name; a third had dropped coverage in 2025 citing "limited incremental information between prints."

That last sentence lived in Menon's head. Mid-cap industrials already suffered a liquidity discount relative to the S&P 500. The bid-ask spread on MFH averaged 18 basis points on ordinary days and widened sharply in the week before earnings. Short interest was modest — 4.6 percent of float — but an activist letter had arrived in March 2026 from a 3.1 percent holder asking the Board to "stop funding the grid hobby and return excess cash." Menon had spent the summer building a capital-return framework that assumed the market could see quarterly free-cash-flow prints. If the official print moved to six months, she would be asking the same activist to trust a press release.

Inside the company the quarter was a management system, not only a filing. Plant controllers closed on working day four. The disclosure committee met on working day eight. The Audit Committee previewed the 10-Q on working day twelve. The earnings call sat on working day sixteen. Sales leaders hated the drumbeat and also used it: a weak June could still be repaired in a strong August if the year was the unit of account, but a weak June inside a public quarter became a conversation with the CEO before the Fourth of July. Menon's controller had already modeled two worlds. World A kept the close cadence internally even if the 10-Q vanished — discipline without the filing. World B let the internal close slacken to a true semiannual rhythm and redeployed twelve controller FTEs. World B saved more money. World B also, the controller said quietly, was how companies lost the ability to see a covenant problem in month four.

The Parallel File the Market Barely Noticed

The same summer the Commission proposed a second change that had drawn less television time and more alarm among audit partners: a significant widening of the population of issuers exempt from auditor attestation over internal control — the Sarbanes-Oxley Section 404(b) regime. Reporting in late August described a categorical shift that could move the share of SEC-regulated companies operating under lighter internal-control rules from roughly half to about 80 percent. Watchdogs at Americans for Financial Reform argued that the combination — fewer interim financial statements and fewer attested control opinions — was the real story. Meridian was large enough that 404(b) would likely still bind. Menon flagged the interaction anyway. If peers in the next market-cap band dropped both the quarterly 10-Q and the control attestation, the relative premium for "clean, frequent, attested" disclosure might rise. Or it might disappear, if institutions simply re-priced the entire mid-cap industrial complex as noisier.

Stakeholder Map, Written Without Diplomacy

The CEO wanted the election. He had come from a private-equity portfolio company and still spoke of "the public-market tax." A two-cycle reduction in the earnings-call circus would, he believed, let the operating committee talk about the 36-month aerospace cycle instead of the 90-day print. He was willing to keep a quarterly press release if IR insisted.

The Audit Committee chair, a retired Big Four senior partner, was unconvinced. She had lived through two restatements in her career and did not romanticize thinner files. Her question was narrow: if Form 8-K and a press release become the only intra-year official words, who owns the disclosure-control design, and what does "timely" mean when the next reviewed number is six months away?

The lead independent director cared about the index and the cost of equity. Meridian was not in the S&P 500. Passive ownership was 31 percent of the float. Active long-only institutions held another 44 percent. If two of the five largest active holders published a policy that they would underweight electing issuers, the $198,000 saving would look ornamental beside a 40-basis-point widening in the earnings yield.

Sell-side coverage was already thin. The remaining two analysts told IR privately that a move off the 10-Q would make the model "a six-month interpolation exercise" and would raise the odds that coverage was dropped. Lost coverage was not a filing requirement. It was a liquidity event.

Lenders under the revolving credit facility received quarterly compliance certificates tied to the 10-Q. Counsel had confirmed the agreement could be amended. Counsel had not confirmed the amendment would be free. A mid-cap industrial asking banks for looser information rights in 2026, with geopolitical capex and tariff noise still in every credit memo, would pay in basis points or in tighter baskets.

Employees and works-council observers at two unionized plants treated the quarterly call as the only uncensored public account of backlog. The CHRO warned that "we will tell you twice a year" would be heard on the floor as "something is being hidden."

Plaintiffs' firms were a silent constituency. Securities-fraud class actions often latch onto a quarter that, in hindsight, contained the missed trend. Fewer official quarters could mean fewer hooks — or larger damages when the six-month number finally moved. The GC refused to model that either way.

What Peer CFOs Were Quietly Saying

By late July, Forbes had published a CFO-desk interview arguing that the rule, even if adopted, might change less than the headlines implied. Egon Zehnder's Clayton and others reported that many sitting CFOs expected to keep issuing quarterly numbers because investors would demand them and because internal forecasting already produced the pack. The option, on this view, was valuable mainly for smaller issuers and for firms whose business cycle was naturally semiannual — certain insurers, some project businesses, some commodity processors. A mid-cap industrial with monthly plant data and a vocal activist was not the cleanest candidate.

Menon had called three peers. The CFO of a larger aerospace supplier said he would not elect in year one; he would wait to see who became the "first mover discount." The CFO of a smaller foundry group said she would elect on day one and use the savings to hire two FP&A analysts. The CFO of a grid-equipment peer said the question was not cost but covenant and rating-agency optics: Moody's and S&P had not issued a methodology update. Until they did, he would not give a credit analyst a reason to write "reduced transparency."

The Decision on the Table

Menon does not control the Commission. She may not even control the timing. What she controls is Meridian's posture in the eleven days before the Audit Committee, and then the Board. Four options have survived the Sunday-night draft:

Option 1 — Pre-commit to remain quarterly. Publish, now, a Board policy that Meridian will continue Form 10-Q (or an equivalent reviewed quarterly package) even if the election becomes available. Signal quality to institutions and analysts. Forgo the option value of flexibility. Risk looking rigid if a critical mass of peers elect and the market stops rewarding the extra file.

Option 2 — Prepare to elect in the first window, keep the press release. File Form 10-S when allowed; retain a quarterly earnings release and call; renegotiate bank certificates. Capture most of the filing-cost saving and some of the CEO's calendar. Accept coverage, liquidity, and litigation uncertainty. Become, possibly, a case study in either courage or error.

Option 3 — Wait for the adopting release and for a first cohort. Build the legal and IR architecture now, make no public commitment, and revisit after the Commission's economic analysis answers — or fails to answer — the information-asymmetry critique. The lead director's note had said not to bring a process. This option is a process with a better vocabulary.

Option 4 — Dual track with a liquidity trigger. Remain quarterly unless specified conditions are met: at least two of the five largest active holders raise no objection; the revolving-credit amendment is signed at a spread no wider than 12.5 basis points; and at least one remaining sell-side analyst commits in writing to maintain coverage. Technically elegant. Politically a hostage to counterparties.

Menon looked again at the lead director's sentence. The market would not grade Meridian on the Commission's philosophy. It would grade Meridian on whether the next number arrived when investors expected it, and on whether the number could be trusted. She opened a blank page and wrote the question she would have to answer out loud.

If the Commission gives us the election, should Meridian Forge take it — and if we do, what do we owe the market in the months when there is no 10-Q?

Assignment Questions

1. Identify the real scarce resource in this case: compliance dollars, management attention, analyst coverage, or the credibility of the information environment. How should that identification change the CFO's recommendation?

2. The Commission estimates a $198,000 direct annual saving. Meridian's fully loaded quarterly close is far larger. Construct a decision table that separates *filing cost*, *cost of capital*, *credit-agreement friction*, and *litigation option value*. Which line is likely to dominate for a $6 billion mid-cap industrial?

3. CFA charterholders opposed flexibility almost as strongly as they opposed the swap itself. Why might a menu of reporting cadences be more damaging to comparability than a uniform semiannual mandate?

4. Evaluate Option 4 (the liquidity trigger). Is it disciplined capital-markets practice, or an abdication of Board authority to holders and banks?

5. How should Form 8-K design, non-GAAP discipline, and Regulation FD training change if the 10-Q disappears but the earnings release remains?

6. Place this file next to the parallel proposal on internal-control attestation. Does the combination alter your recommendation even if Meridian itself remains inside 404(b)?

YOU ARE THE CFO

You are Priya Menon. The Audit Committee meets in eleven days. The rule is not final. The comment file is 97 percent opposed. The Chair of the Commission still intends to move. Your CEO wants the election. Your Audit Chair does not. Your largest active holders have not published a policy. Your banks have not priced an amendment. Your coverage is two analysts.

Decide, in writing, in not more than two pages: (a) which option you will recommend; (b) the two numbers you will put on the first slide of the Board pack; (c) the single public sentence IR is allowed to use if a reporter calls tomorrow; and (d) what you will refuse to trade away even if the CEO asks again.

Core philosophy of Future CFO 2035: AI generates. DATA informs. FINANCE measures. ACCOUNTING verifies. HUMAN JUDGMENT decides.

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